11/14/2023 - Brooklyn Union & KeySpan Gas - 23-G-0225/0226

STATE OF NEW YORK

PUBLIC SERVICE COMMISSION

CASE 23-G-0225 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service.

CASE 23-G-0226 – Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corporation d/b/a National Grid for Gas Service.

PUBLIC STATEMENT HEARING

DATE: November 14, 2023 at 6:35 p.m.

LOCATION: Oneness Pentecostal Tabernacle
198-01 Linden Boulevard
Jamaica Queens, New York

BEFORE: ALJ JAMES COSTELLO

Reported by Hannah Belair

(The hearing commenced at 6:35 p.m.)

A.L.J. COSTELLO: Can we go on the record?

THE REPORTER: We're on the record.

A.L.J. COSTELLO: I call cases 23-G-0225 and 23-G-0226. Proceeding on motion of the Commission as to the Rates, Charges, Rules and Regulations of the Brooklyn Union Gas Company, doing business as -- as National Grid, New York and KeySpan Gas East Corporation, doing business as National Grid for Gas Service.

My name is James Costello. We're here for a public statement hearing that was noticed by the Secretary of the Department of Public Service on October 16th, 2023. The public statement hearing concerns the proposed changes in the elect -- the gas delivery rates and practices of Brooklyn Union Gas Company and KeySpan Gas East Corporation, which I will refer to as KEDNY or KEDLI or the companies.

On April 28th, 2023 the companies proposed to increase their annual gas delivery revenues effective March 31st, 2024. KEDNY proposed to increase its revenues by $414 million, which is a 28 percent increase in base delivery revenues, or a

17 percent increase in total revenues. KEDLI proposed to increase its revenues by $228 million, a 24 percent increase in base delivery revenues, or a 14 percent increase in total revenues. The actual bill impacts of those proposed changes on any particular customers will vary based on the class that the customers fall within, revenue allocation, and rate design.

Again, my name is James Costello. I'm assigned by the Department of Public Service as an Administrative Law Judge to preside over this case, and basically what we do is prepare a record for the Commission's review. I'm also joined on the case - the person's not here tonight - by Administrative Law Judge Maureen Leary. She's holding public statement hearings this evening in Brooklyn.

So what happens? The case basically gets prepared and goes forward and is decided by the New York State Public Service Commission and the Public Service Commission must consider a utility -- must consider the utility's proposal and it may adopt it -- adopt it, reject it in whole or in part, or it may modify it. And the Public Service Commission will decide what the company's terms and services --

conditions of service will be. It has six members, the Chairperson, Rory Christian and five Commissioners; Diane Burman, James Alisi, John Howard, David Valesky, and John Maggiore. So what I'm going to do is briefly explain the process that we're going to follow, which is basically we're here to -- for you to give your comments to the Commission about your thoughts on the company's proposals. The statements you make will be captured and become part of the case record. They'll be transcribed verbatim. We have a court reporter with us who will prepare the transcript and it will be included in the official record of this proceeding so that your comments can be considered by all members of the Commission.

The transcript, when it is ready, will be available on the Department of Public Services website for review. And you would do that by looking under the case numbers that apply to these cases, which is they're 23-G-0225 and 23-G-0226.

This hearing is not an evidentiary hearing. It's not a -- a question and answer session. It's a forum to hear your comments. And it's also not the only opportunity for you to make a comment, and if you do not wish to speak today, or if

you'd prefer just to give your comments in another way, if you want your views to be considered as part of the record, there are various other ways you may do so, and you can do that by submitting the comments on the Department of Public Service's website. You can do it by regular mail to the Department of Sub -- Public Services, Albany Office. You can do it by phone.

And regardless of how your comments are submitted, they are given equal consideration and any comments you submit will be considered and you may submit them until the case is decided. So we've asked people as they've come in, if they want to give a comment, to fill out a card, provide their names and what I'm going to do is I'm going to call the people as they registered. Right now we only have three people that registered. I'm going to ask you to please speak slowly and clearly so that the court reporter can accurately capture your statement for the record. If you have a very lengthy written statement, you could summarize that and submit your written statement. And I ask that everyone be respectful of -- of the today's speakers even if they have different views than what you might have. Also,

I ask if you haven't done so already, if you have a cell phone, please just put that on mute. So with that, we'll go to our first speaker. And our first speaker is Ms. Y. Strong-Banks. Just please come up to the microphone and you can give your statement.

MS. STRONG-BANKS: Good evening everyone, and thank you very much for the presentation. Just one thing about the presentation, there were a lot of acronyms in there and it didn't spell out exactly what they meant. So in the future, spell it out so we'll know what it -- exactly what it means. So my comments had to do with a few things. You mentioned that there were 20,000 or 22,000 customers served with a program. I sort of want to know the -- with the thermostat program, where those individuals are and you know, what area of New York State they are if they're in New York. And then we also spoke about the window program. I'm in desperate need of windows and I've been looking for programs for at least five years, so I'm not sure how you're putting that information out. So I would like that information to be included. And I wanted to know something about profit and loss statements with regards to National Grid, because you're asking for

extremely large increase. And I know I work part-time and I'm a senior. I can't afford the increase of $33 a month. I can't afford a two-dollar increase.

So I think there needs to be some sort of consideration on how this is coming about and how people if – if it does pass, and hopefully it does not, how they're supposed to pay this -- this amount because a lot of people cannot afford it. And then this may sound funny, but I'm being very serious here. I think we should also think about the executives and the bonuses that executives receive and maybe reduce those down to help offset some of the proposed costs and/or increases, because that's always a lot with private companies. And -- and then what we talk about the services that were listed, what area or what members of Queens from this area are actually participating in those? Because you're here and hopefully, I know you said it's not a question and answer, so I'm sort of putting this out there so it can be explored and maybe feedback can come back, because I know two years ago, National Grid did some changes of the piping and for me, my concrete was messed up to now it's a trip hazard and

I've reached out to National Grid at least 10 times and it has not been repaired.

So as a customer and a homeowner, I'm concerned about that because it hasn't been addressed. So, you know, I want to know what National Grid's current profit and loss statements are and this 30 percent, where do you think people are going to be able to get the money if it -- if an increase is granted, where the -- where's the money coming from? Because we talked about serving people who don't have it, but how are they going to get that information? And I think more information needs to come out to the public. The only reason why I heard about this hearing, because I also belong to the federation block of Laurelton, which is a block association of all the block association for the area. And if it wasn't for that, I wouldn't have heard about the hearing. So again, thank you National Grid for your presentation, and I would like someone's contact and information to follow up.

A.L.J. COSTELLO: Just so let me tell you if you ask them, they -- they're -- they mentioned earlier there's somebody here or --

MS. STRONG-BANKS: Yes, I heard that

--

A.L.J. COSTELLO: -- from there. They can -- they can help you with contact information.

MS. STRONG-BANKS: Okay, perfect. Okay.

*A.L.J. COSTELLO: Also, if you're having problem -- continuing problems or you have problems that you feel that you're not getting addressed by the companies, if you go to the Department of Public Services table that we have set up, they can give you information to contact the Department of Public Service to -- to help you with that.

MS. STRONG-BANKS: Excellent. Thank you very much. Those are my comments.

A.L.J. COSTELLO: Thank you.

MS. STRONG-BANKS: Thank you.

A.L.J. COSTELLO: Our next speaker is Dr. Stacie N.C. Grant.

DR. GRANT: Good evening, Your Honor, and give an honor to the clergy here in Oneness Pens -- Pentecostal Cap -- Tabernacle. My name is Dr. Stacie N.C. Grant and I'm the founder of Destiny Designers University. It's a multimedia training and

development platform for faith entrepreneurs, faith-based entrepreneurs and faith-based professionals. I'm working as a partner with National Grid to amplify Project C, as a program that focuses on workforce development, environmental justice, neighborhood investment, and volunteerism, with the Faith-based community. National Grid has committed to be a true community partner with the faith-based community, and we are working to share these opportunities and amplify where they exist for our faith-based community members and more broadly, our global community here is -- particularly in New York. Now, National Grid is supporting this black and brown community through weatherization and energy efficiency training through the Grid Collective, and the first cohort has launched.

Project C grants make our communities better through neighborhood beautifications, capacity building programs, and they have committed to protecting safe, reliable service, during New York's energy transition and keeping it as affordable as possible. The rate will be increased and they say gradually, and will ensure that energy will be one that we can all utilize here in our communities

safely. And the extensive financial support that they have committed, will hopefully offset some of the challenge because coming out of Covid, everyone is suffering and they have committed to make sure that those in low income areas and customers, can offset what these rate increases would provide. We have to preserve our choice here in New York and pursue a hybrid path to de-carbonization that incorporates electrification and low carbon fuels like RNG and hydrogen. As they work as a community partner, we're going to hold them accountable to the investment that needs to be made to ensure that we do improve that workforce opportunity and for businesses to participate in making our state a greener state.

Have things been perfect? No. Can we learn from past mistakes? Yes. Has National Grid, particularly through the Project C program, demonstrated a viable plan for the future? Absolutely. As true partners, we will work together with them to hold accountable all of what they have outlined as a plan forward, not just for this generation but for future generations. Thank you for your time.

A.L.J. COSTELLO: Thank you. Our next

speaker is Kevin Alexander.

MR. ALEANDER: Good evening, Judge Costello. My name is Kevin Alexander and I'm the President and CEO of Rockaway Development and Revitalization Corporation, located in Far Rockaway, Queens. RDRC is a 45 year old local development corporation that provides workforce development, youth development, small business assistance, housing and home ownership counseling and commercial revitalization services to over 3,000 participants and clients per year. National Grid is a critical partner to RDRC and the Rockaways in its efforts to support the unique challenges Rockaway businesses and homeowners face as a coastal community in a geographically and economically challenged area of the -- of Queens. Access to reliable and affordable energy is essential for a robust, dynamic and vibrant economy, and it could not be more critical to the economic health of New York City.

National Grid's deep understanding of commitment to the communities they serve enables them to provide the energy and other support -- and other supports businesses need to thrive, particularly small businesses in all of our communities. In the

business -- in the New York business landscape, National Grid actively supports small business -- small business owners through initiatives such as economic development grants and workforce development grants through Project C. They offer assistance with weatherization and energy efficiency programs that allow businesses to lower their bills and their admissions. They support large economic development projects that brings jobs and taxes into our communities and more foot traffic into our small businesses.

National Grid's could -- community investments extend far beyond providing the customers with gas and electricity. From promoting energy conservation to implementing eco-friendly initiatives and supporting local organizations. Their commitment to fostering a sustainable and thriving community and economy in New York City and Long Island is clear. When Superstorm Sandy devastated the Rockaways, National Grid was there for the community, setting up a mobile station in the heart of the Rockaways to distribute clothing, supplies, generators, heaters, and hope to thousands of locals that had no place to go. For businesses and commercial property owners,

estabL -- establishing Sandy Leaf grants to assist businesses -- assist our businesses reopen safely and quickly. When the pandemic hit coming into the Rockaways with pallets of -- of supplies; hand sanitizer, masks, gloves and wipes, so businesses and their employees could remain open and safe.

Let me conclude. Businesses cannot succeed without stable, reliable, and affordable energy system -- energy system. And we could not ask for a better partner to power our operations and heat our homes and businesses, than National Grid. From their dedicated staff, what -- who think outside the box to meet our needs, to their high impact partnerships with local not-for-profits and educational institutions and faith institutions, National Grid is an excellent -- excellent example of good corporate citizenship. Their work enables us to succeed and makes the Rockways a more vibrant po -- place to live, work, and play. We are all operating in a challenging environment when it comes to taxes, inflation, and clean energy mandates. We are proud to voice our support for National Grid as they seek the resources they need to continue providing critical, reliable service while building the clean

energy infrastructure necessary to meet New York's climate goals. Thank you.

A.L.J. COSTELLO: Thank you. Our next speaker is Derrick Davis.

MR. DAVIS: Good evening everyone. I'm Derrick Davis, Chief of Staffs of New York State Senator Leroy Comrie from District 14 here in Queens. And the Senator will be submitting written testimony in regard to the rate case. But I wanted to take this opportunity to thank the Department of Public Service for coming out into Southeast Queens and for holding this public statement hearing and allowing our public -- members of the public to air their concerns and to voice any types of issues that they've been having. And I would also want to thank our community partners National Grid, as well as Dr. Stacie N.C. Grant and Kevin Alexander for appearing this afternoon. We look forward to hosting many more of these opportunities for the public to voice their concerns. And once again, I just want to thank all of you for being here. Thank you.

A.L.J. COSTELLO: Thank you. Our next speaker, and I apologize if I mispronounce it because I -- it looks like Marie Asher?

MS. GRAHAM: Graham.

A.L.J. COSTELLO: Graham, okay, I'm sorry

MS. GRAHAM: Yes. Good evening everybody and thank you all for coming. I wasn't going to speak because I wasn't prepared to, but you know, just listening, I do want to go on the record on behalf of people in the congregation and part of a member of the church. You know, just looking at the numbers, seeing $400 and something million in proposed increase and just, I understand their corporate and all kind of people and I don't really understand the rate, how it's determined and distributed. But I did take a quick look on the Social Security, the proposed and already approved, like 3.2 percent for the seniors and a significant portion of the people that attend our church and are in the community, are in fixed income, whether it's Social Security and limited amount may have pensions, but those are pretty fixed. And as far as I know, no one has been awarded any increase in that amount in the double digits much as 20 something percent.

Secondly, I did a quick research and I saw just, you know, listening in the last 10 minutes,

that New York's -- the Rent Control Board approved a five around five percent increase, and that's already effective. And there are many other increases that have happened. So when someone's on a fixed income, there's no other way to pay, and I listened earlier, I didn't understand all the acronyms either. You know, and there are different programs that as the representative from the utility said, not everybody's taking advantage of it. So how could there be something in whatever decision that would provide a way that people that cannot pay, even now before the rate, are notified and are given an opportunity. So basically I'm asking for notice and opportunity to be heard. So taking those two -- just two in the five minutes or so that it took me to put together what I -- you know, just doing that research you know, you're getting three point something. So for the average person it's like $92 extra per month and fixed, that's all they have. There's no other source of income.

And so Medicaid will -- will get a portion of it and Medicare will get a portion of that, rent will get a portion of that $92 average increase. So if they're an average customer with 30

percent increase, the utility loan based on the proposal will get one third of that increase. If, you know somebody who paid, made an extra amount of money and are in one of the highest Social Security categories, and they get an average of 154-month, 30 percent, $30 of 154, we can do the math; what percentage just paying for gas would be in their monthly budget. So what I'm requesting is that when we do it, it's not just a macro economic analysis, we do the micro for the people that are doing it, that it's going to be effective. Thank you. Have a good evening everybody.

A.L.J. COSTELLO: Thank you. Our next speaker is Katherine Brezler.

MS. BREZLER: Good evening. My name's Katherine Brezler. Tonight I'm representing Queens Borough President Donovan Richards, Jr. We must bring down the costs for families and help transition our city to more resilient renewable forms of energy. We do not think working families should have to shoulder this responsibility. We hope that National Grid will take a hard look at streamlining for efficiencies and reassess the steep rate hikes they're asking Queens residents to bear. While

National Grid is raising rates because of the quote, need to invest in critical infrastructure to comply with Federal and State Pipeline safety mandates, increased costs to deliver expanded energy efficiency and other demanded reduction offerings and economic factors such as rising costs of materials due to inflation, increased contractor costs, and increases to property taxes. Their CEO saw more than a million salary increase while asking more -- while asking those, not making six million pounds a year to dig deeper into their pockets. We cannot continue to ask our disadvantaged communities who've already bore the brunt of our climate crisis, to give more and more. We call on National Grid to implement its own cost saving measures, reevaluate these heights and come back to our community with a fair market rate. Thank you.

A.L.J. COSTELLO: Thank you. Okay, I've reached the end of the list, but generally we try to stay -- keep the hearing open for at least a half an hour. So we'd have, you know, another five or 10 minutes. So what I'm going to do is go off the record now, and in 10 minutes I'll come back. If there's anyone else that has come forward that wants

to speak, we'll hear them. If not, we'll just wrap it up. Okay. So we're going to go off the record.

(Off the record at 6:58 p.m.)

(On the record at 7:07 p.m.)

THE REPORTER: Start the record.

A.L.J. COSTELLO: Okay, we're just going to wrap things up. Nobody else has come forward to indicate that they wanted to give a public comment; no further people came forward. So I want to thank everyone for their participation today. I'd also like to thank Pastor Lincoln Graham Jr. for allowing us to use this facility. We thank the -- our Consumer Services Office, Xenia Vega and Jill Wasser for their assistance as well as our court reporter and the Spanish interpreters that we had here today. So with that, we're going to go off the record and I hope everyone has a good evening.

(The hearing concluded at 7:08 p.m.)

STATE OF NEW YORK

I, HANNAH BELAIR, do hereby certify that the foregoing was reported by me, in the cause, at the time and place, as stated in the caption hereto, at Page 1 hereof; that the foregoing typewritten transcription consisting of pages 1 through 20, is a true record of all proceedings had at the hearing.

IN WITNESS WHEREOF, I have hereunto subscribed my name, this the 17th day of November, 2023.

HANNAH BELAIR, Reporter